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| CASE #      | CASE NAME                                                   | HEARING NAME                                                     |
|-------------|-------------------------------------------------------------|------------------------------------------------------------------|
| CVPS2509119 | PADILLA VS TOYOTA<br>MOTOR SALES USA<br>INC., A CORPORATION | DEMURRER ON 1ST AMENDED<br>COMPLAINT OF MARY QUITQUIT<br>PADILLA |

**Tentative Ruling:** “[A] demurrer tests the legal sufficiency of the allegations in a complaint.” (*Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading or from matters that are judicially noticeable. (*Donabedian v. Mercury Ins.* (2004) 116 Cal.App.4th 968, 994.) For purposes of ruling on a demurrer, all material facts pleaded are assumed to be true, but the court does not assume the truth of contentions, deductions, or conclusions of law. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.)

For statutory claims, including those under the Song-Beverly Act, the plaintiff must plead facts demonstrating a right to recover under the statute with particularity. (*Hawkins v. TACA Int’l Airlines, S.A.* (2014) 223 Cal.App.4th 466, 478; *see also Covenant Care, Inc. v. Sup. Ct.* (2004) 32 Cal.4th 771, 790.) “[S]imply parroting the language of [a statutory cause of action] in the complaint is insufficient to state a cause of action under the statute.” (*Hawkins, supra*, 223 Cal.App.4th at 478.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349; *see also Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037.) The burden is on the complainant to show that a pleading can be amended successfully. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

#### Breach of Express Warranty 1<sup>st</sup> Cause of Action:

To state a claim for breach of express warranty under the Song-Beverly Act, Plaintiff must allege facts supporting four elements: (1) a defect or nonconformity covered by warranty that substantially impairs the use, value, or safety of the vehicle; (2) presentation of the vehicle to an authorized repair representative; (3) failure to repair after a reasonable number of attempts; and (4) failure to promptly replace or repurchase the vehicle. (*Carver v. Volkswagen Grp. of Am., Inc.* (2024) 107 Cal.App.5th 864, 879 [internal citations omitted].)

Defendant argues that the SAC is “devoid of particularity” and fails to allege “[w]hat specifically were the nonconformities to warranty? When specifically did those nonconformities manifest? How specifically do those nonconformities substantially impair the use, value or safety of the [Vehicle]? To which authorized repair facilities did Plaintiff deliver the Tundra? And when? How many repair attempts were made?” (Def.’s Demurrer 7:10–16.) Defendant further argues that the SAC’s theory based on recalls fails because, under California authority, recalls and technical service bulletins do not constitute admissions of defect. (*Id.* at 8:13–9:27.)

In *Gutierrez v. CarMax Auto Superstores California* (2018) 19 Cal.App.5th 1234, the California Court of Appeal held: “[T]he existence of a safety recall does not adequately allege a substantial safety hazard existed.” (*Id.* at 1248.) A plaintiff must allege that her

vehicle “actually exhibited the alleged defect,” not merely that it was at risk. (*Taragan v. Nissan N. Am., Inc.* (N.D. Cal. June 20, 2013) 2013 WL 3157918, at \*4 [internal quotation omitted].)

Plaintiff responds that Defendant’s “own admissions regarding the existence and seriousness of the defects” via the recall filings, including a NHTSA Defect Information Report filed August 10, 2023, regarding the fuel-tube/fire risk, and a Defect Information Report filed May 30, 2024, regarding engine machining debris, create “at minimum, triable issues regarding the existence of a nonconformity affecting the safety and value of the Subject Vehicle.” (Pl.’s Opp. 4:11–19.) Plaintiff contends that paragraphs 7 through 11 of the SAC identify “two latent engine defects at the time of sale,” and that the recalls supply both causation (defective parts increasing the risk of fire and engine failure) and harm (loss of value, loss of use during repair, and loss of faith in the vehicle’s safety and function). (*Id.* at 6:5–20.)

As Defendant argues, however, the SAC suffers from two independent and fatal pleading defects. First, the SAC does not allege that Plaintiff’s Vehicle actually manifested the recalled conditions. The SAC alleges only that Plaintiff “took the vehicle to . . . have the aforementioned recalls performed” (SAC ¶ 10), not that she experienced fuel leaks, engine performance problems, or any other symptom of the recalled conditions. Under *Gutierrez*, the existence of a safety recall, standing alone, does not adequately allege that a substantial safety hazard existed in Plaintiff’s particular vehicle. (*Gutierrez, supra*, 19 Cal.App.5th at 1248.) An admission by Defendant that certain vehicles in a model line may fail to comply with federal safety standards is not the same as an allegation that Plaintiff’s Vehicle manifested a nonconformity substantially impairing its use, value, or safety. The recall references and NHTSA filings at paragraphs 8 and 9 of the SAC, therefore, do not cure the deficiency the Court previously identified.

Second, and independently, the SAC affirmatively pleads facts that negate the “failure to repair after a reasonable number of attempts” element. (See *Carver, supra*, 107 Cal.App.5th at 879.) The SAC alleges that the Vehicle was presented on January 6, 2025, and that both recalls were “completed” on January 24, 2025—the first by installation of “a new fuel tube, clips, and clamps,” and the second by “removal and replacement of the original engine assembly.” (SAC ¶¶ 10–12.) As Defendant correctly notes, this is the opposite of what is required for a breach of express warranty cause of action under Song-Beverly. The SAC’s general allegation that defects “were presented to Defendant’s authorized repair facilities” (SAC ¶ 20) is conclusory and is contradicted by the SAC’s specific factual allegations describing a single repair visit in which both recalls were resolved (SAC ¶¶ 10–12).

The SAC’s causation and harm allegations are also conclusory. The SAC recites only that “[a]s a direct and proximate result of said violations of the Song-Beverly Act, Plaintiff has sustained, and continues to sustain, actual, incidental and consequential damages in the approximate amount of the purchase price according to proof at trial.” (SAC ¶ 23.) This boilerplate language, without supporting factual allegations connecting any specific defect to specific harm, is insufficient. The factual detail offered in Plaintiff’s opposition, such as “time down,” “loss of use,” “loss of faith,” appears in counsel’s brief but is not pleaded in the SAC with the specificity required of a statutory cause of action. (See Pl.’s Opp. 6:5–20.)

### Breach of Implied Warranty 2<sup>nd</sup> Cause of Action:

To state a claim for breach of the implied warranty of merchantability under Song-Beverly, a plaintiff must allege facts showing the product was not “fit for the ordinary purposes for which such goods are used” and must “allege facts establishing the generic elements of causation and harm.” (*Gutierrez, supra*, 19 Cal.App.5th at 1247–48.) “The buyer of consumer goods must plead he or she was injured or damaged by the alleged breach of the implied warranty of merchantability.” (*Id.* at 1246–47.)

Defendant argues that the SAC “merely states ‘the vehicle has malfunctions, and nonconformities render the Vehicle unfit for the ordinary purposes for which it is used, and it would not pass without objection in the trade’ . . . without pleading any injury or damage and without stating facts showing causation.” (Def.’s Demurrer 7:26–8:2 [citing SAC ¶ 30].) Defendant’s reply observes that this identical boilerplate language carried over verbatim from the original Complaint—the very language the Court previously held was “a conclusion of law” with “no factual detail about the alleged ‘defects, malfunctions, and nonconformities.’” (Def.’s Reply 3:8–27.)

Plaintiff responds that “[a] jury could reasonably conclude that a vehicle carrying such unresolved safety risks was not merchantable,” that “[m]erchantability does not require that a vehicle become completely inoperable,” and that vehicles may breach the implied warranty “where safety, reliability, or ordinary functionality are materially compromised.” (Pl.’s Opp. 6:16–20.) This argument is without merit for the same reasons discussed above.

As Defendant argues, the second cause of action suffers from the same pleading deficiencies as the first. The SAC alleges only that Defendant issued safety recalls and that Plaintiff presented the Vehicle to have the recalls performed, not that the Vehicle actually manifested the recalled conditions, exhibited symptoms of unmerchantability, or was unfit for ordinary purposes prior to or independent of the recall repairs. Plaintiff’s argument that the Vehicle carried “unresolved safety risks” (Pl.’s Opp. 6:18) is in tension with the SAC’s own allegation that both recalls were “completed” in a single visit on January 24, 2025 (SAC ¶¶ 11–12).

Moreover, the SAC’s causation and harm allegations are the same boilerplate the Court previously found insufficient. The recitation that “[a]s a direct and proximate result of the breach of the implied warranty of merchantability, Plaintiff has sustained, and continues to sustain, actual, incidental and consequential damages” (SAC ¶ 32), without supporting factual allegations connecting any unfitness to specific harm, does not satisfy the “generic elements of causation and harm” required by *Gutierrez*. (Pl.’s Opp. 5:27–6:3 [citing *Gutierrez, supra*, 19 Cal.App.5th at 1246–47].)

### Unfair Competition Law 3<sup>rd</sup> Cause of Action:

“To bring a UCL claim, a plaintiff must show either an (1) unlawful, unfair, or fraudulent business act or practice, or (2) unfair, deceptive, untrue or misleading advertising. [Citation.] Because the UCL is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” (*Adhav v. Midway Rent A Car, Inc.* (2019) 37 Cal.App.5th 954, 970 [internal quotation marks & quotations omitted].)

Defendant argues that the UCL claim fails for four independent reasons. First, a breach of warranty cannot itself serve as the “unlawful” predicate for a UCL claim. Second, because the Song-Beverly causes of action are insufficiently pled, the derivative UCL claim also fails. Third, as to the “unfair” prong, the SAC fails to identify any substantial injury Plaintiff actually suffered, alleging only that “Plaintiff could not have reasonably avoided the injury suffered herein.” (SAC ¶ 48.) Fourth, as to the “fraudulent” prong, Plaintiff fails to identify any oral misrepresentation or facts supporting a fraudulent misrepresentation.

Unlike the FAC, the SAC now separately pleads all three UCL prongs. Under the “unlawful” prong, the SAC alleges that Defendant “intentionally placed the Subject Vehicle, with defective components, into the stream of commerce” knowing the components “suffered from defects which substantially affected the vehicle’s value and safety.” (SAC ¶ 43.)

Under the “unfair” prong, the SAC alleges that Defendant failed to “provide repair facilities to service vehicles to conform to the express warranties reasonably close to where Plaintiff’s vehicle is sold” and attempted “to coerce Plaintiff and other members of the public to sign confidentiality clauses.” (SAC ¶ 46.)

Under the “fraudulent” prong, the SAC alleges consumers “were never informed of their rights pursuant to the Song-Beverly Acts standards,” and that “Defendants’ oral misrepresentations also deceived Plaintiff to believe that Plaintiff would receive a benefit by purchasing a Vehicle from them under warranty.” (SAC ¶¶ 52–53.) Plaintiff’s opposition, however, rests almost entirely on the argument that “[f]or the same reasons the first and second causes of action were sufficiently pled, they are also sufficiently incorporated into the third cause of action.” (Pl.’s Opp. 7:14–15.)

Here, each of the three UCL prongs fails as pleaded. As to the unlawful prong, to the extent it is predicated on violations of the Song-Beverly Act, it fails for the same reasons discussed above—the underlying Song-Beverly claims are not pleaded with sufficient factual particularity, and the derivative UCL claim is therefore deficient. Independently, a breach of warranty is not itself an “unlawful act” for UCL purposes absent some additional unlawful, unfair, or fraudulent character. (*Puentes v. Wells Fargo Home Mortg., Inc.* (2008) 160 Cal.App.4th 638, 645.)

As to the unfair prong, the SAC’s allegations are conclusory and lack the specific factual detail needed to state a claim. The SAC alleges that Defendant “fail[ed] to provide repair facilities . . . reasonably close to where Plaintiff’s vehicle [wa]s sold” without identifying what facility Plaintiff was directed to, where it was located, or how far Plaintiff was required to travel. (SAC ¶ 46.) The SAC alleges only that Defendant was “[t]rying to coerce Plaintiff and other members of the public to sign confidentiality clauses” (SAC ¶ 46)—a generalized allegation directed at “the public” rather than a factual account of any confidentiality clause presented to this Plaintiff, when it was presented, its terms, or how Plaintiff was harmed.

The SAC likewise fails to identify any substantial injury Plaintiff actually suffered; the conclusory allegation that Plaintiff “could not have reasonably avoided the injury suffered herein” (SAC ¶ 48) does not identify what injury was suffered or how it flows from

the alleged unfair conduct as distinct from the alleged warranty breach. Absent such specifics, the SAC does not plead an unfair business practice as to Plaintiff.

As to the fraudulent prong, the SAC's allegations of "oral misrepresentations" (SAC ¶ 53) are pleaded without the specificity required for fraud such as who made the misrepresentation, when, where, what was said, or how Plaintiff relied on it.

Leave to Amend:

This is Plaintiff's third pleading attempt, and the same core defects identified by the Court at the original Complaint stage persist in the SAC—*i.e.*, the absence of factual allegations describing what defects Plaintiff's vehicle actually manifested, when, and with what repair history. Defendant urges that leave to amend should be denied because "the facts necessary for plaintiff to assert Song-Beverly breach of warranty causes of action against TMS simply do not exist." (Def.'s Reply 4:1–2.)

Nevertheless, California courts strongly favor liberality in granting leave to amend, and denial is reserved for cases where it is clear no amendment could cure the defects. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349; *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037.) Here, there is a reasonable possibility that Plaintiff could allege, if such facts exist, that the Vehicle actually exhibited the recalled conditions, that Plaintiff presented the Vehicle for repair on multiple occasions for the same condition, or that problems persisted after the January 2025 repairs.

Defendant's Demurrer to the 1<sup>st</sup>, 2<sup>nd</sup> and 3<sup>rd</sup> Causes of Action SUSTAINED with leave to amend. Plaintiff given one final opportunity to amend. Amended complaint to be filed within 30 days.

Case Management Conference continued to November 19, 2026.